



Sembcorp – Alinta Energy

MN-95001

Phase 1 Determination

Acquisition may be put into effect

6 May 2026

1. Determination and statement of reasons

Notified acquisition	Sembcorp Industries Ltd (Sembcorp) together with Sembcorp's indirect wholly-owned subsidiaries, Sembcorp Australia Pty Ltd and Sembcorp Energy Australia Pte Ltd (collectively, the Purchasers), propose to acquire by way of share sale agreement, 100% of the issued share capital in Pioneer Sail Holdings Pty Ltd (Pioneer Sail Holdings) and its subsidiaries (including Alinta Energy Pty Ltd (Alinta Energy) and Latrobe Valley Power (Holdings) Pty Ltd (together, the Target Group)) from Chow Tai Fook Enterprises Limited and Pioneer Sail Singapore Pte Ltd (collectively, the Sellers) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Sembcorp, is an energy, renewable and industrial solutions company headquartered in Singapore with renewable energy and gas assets in the wider Asia region. Sembcorp does not own any operating assets in Australia, nor have any minority or controlling interests in any entities active in the energy sector in Australia. Alinta Energy is an Australian "gentailer" which supplies electricity and gas to customers across Australia. It has generation assets comprising of coal, gas, onshore wind and solar and a development pipeline of renewable energy projects. Latrobe Valley Power (Holdings) Pty Ltd operates the Loy Yang B Power Station, a coal-fired power station in Victoria. Temasek Holdings (Private) Ltd (Temasek), the largest shareholder of Sembcorp, has an indirect interest in SGSP (Australia) Assets Pty Ltd (SGSPAA), the owner of Jemena. Jemena is the owner and operator of gas distribution and transmission and electricity distribution network assets on the east coast of Australia and has interests in three electricity distribution networks located in New South Wales, Victoria and the Australian Capital Territory. Temasek also has an indirect interest in Neoen SA (Neoen), a France-headquartered global developer, constructor, financier and operator of renewable energy assets. Neoen owns and/or operates a number of wind, solar and energy storage projects in New South Wales, Queensland, South Australia, Tasmania, and Western Australia.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the Competition and Consumer Act

2010 (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.

- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, additional information provided by the merger parties, market feedback and publicly available information.
- 2.4. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Industry background

National Electricity Market

- 2.5. Electricity generated in eastern and southern Australia is traded through the National Electricity Market (**NEM**).¹ The NEM consists of a wholesale spot market for selling electricity and a transmission grid for transporting it to energy customers.² The market covers 5 regions – Queensland, New South Wales including the Australian Capital Territory, Victoria, South Australia and Tasmania, and services around 11 million customers.³
- 2.6. The NEM is operated by the Australian Energy Market Operator (**AEMO**) through a centrally-coordinated dispatch process that pools generation from producers and delivers required quantities of electricity from the pool to wholesale consumers. This includes managing the bidding, scheduling and dispatch of generators, determining the spot price, measuring electricity use, and financially settling the market.⁴

Wholesale Electricity Market

- 2.7. Like the NEM, the Wholesale Electricity Market (**WEM**) is an electricity market that enables wholesale electricity sales between generators and retailers, large-scale customers and demand side participants. The market supplies energy to south-west Western Australia and operates on the South West Interconnected System (**SWIS**).⁵
- 2.8. The WEM has an additional capacity market, the Reserve Capacity Mechanism, which is unique to the WEM and aims to ensure there is sufficient generation capacity in the SWIS.⁶ The Reserve Capacity Mechanism incentivises investment by awarding tradeable capacity credits to suppliers to guarantee capacity for the SWIS in a given year.

¹ AER, [State of the Energy Market 2025](#), 26 August 2025, p. 14.

² AER, [State of the Energy Market 2025](#), 26 August 2025, p. 16.

³ AER, [State of the Energy Market 2025](#), 26 August 2025, p. 14.

⁴ AEMO, [Dispatch information](#), accessed 30 April 2026.

⁵ AEMO, [Energy markets and systems](#), accessed 30 April 2026.

⁶ AEMO, [Energy markets and systems](#), accessed 30 April 2026.

Regulation of gas and electricity networks

- 2.9. Australia's electricity and gas network assets are regulated under the National Electricity Law (**NEL**) and the National Electricity Rules (**NER**), and the National Gas Law (**NGL**) and National Gas Rules (**NGR**), respectively.
- 2.10. The ACCC considers the access and transparency and ring-fencing and non-disclosure obligations of these regulatory frameworks to be most relevant to its assessment of the Acquisition.

Transparency and access obligations

- 2.11. The NER and NGR set out a number of transparency and access obligations which apply to Jemena's electricity distribution networks and gas transmission and distribution pipelines, respectively.
- 2.12. Chapter 3 of the NER includes requirements for the provision of information by, and to, AEMO, including information about existing and proposed generation projects, network congestion, available capacity of generators and networks, adequacy of electricity supply, the operation of the spot market, and requirements for ancillary services.⁷ In addition, information regarding proposed and approved revenue and pricing by Distribution Network Service Providers (**DNSPs**) is made available through the Australian Energy Regulator's (**AER**) public draft and final determinations pursuant to Chapter 6 of the NER.⁸
- 2.13. Chapter 5 of the NER provides frameworks for establishing and modifying connection and access to electricity networks by generators, including through published standard offers for connection and processes for negotiated connections and dispute resolution.⁹
- 2.14. Part 10 of the NGR prescribes information that gas pipeline service providers must make publicly available on their websites, which includes demand, capacity and pricing information.¹⁰ Access to this information is designed to assist users in negotiations with pipeline service providers.
- 2.15. Gas pipelines owned by Jemena are subject to a negotiate-arbitrate model under the NGL and NGR. This framework is designed to promote negotiated access to gas pipeline services, with the ability for access disputes to be arbitrated. Access disputes can include price and non-price matters.¹¹

Ring-fencing and non-disclosure obligations

- 2.16. Ring-fencing refers to separating the regulated activities of an electricity DNSP or gas pipeline operator from contestable parts of their business. These requirements include restrictions on sharing information obtained through regulated electricity or gas

⁷ Australian Energy Market Commission (**AEMC**), [Chapter 3 of the NER](#).

⁸ AEMC, [Chapter 6 of the NER](#).

⁹ AEMC, [Chapter 5 of the NER](#).

¹⁰ AEMC, [Part 10 of the NGR](#).

¹¹ AER, [Pipeline Access Dispute Guide](#), November 2023.

operations with related businesses that operate in contestable markets, for example in retailing electricity or gas.

- 2.17. The AER's Electricity Distribution Ring-fencing Guideline, made under the NER, imposes obligations designed to prevent cross-subsidisation and discriminatory conduct between an electricity DNSP's regulated network services and its activities in contestable markets.¹²
- 2.18. Ring-fencing obligations apply to non-public information which a DNSP acquires or generates in connection with its regulated operations, including information concerning individual customers or classes of customers. A DNSP is generally:
- required to protect the confidentiality of that information, and only use the information for the purpose for which it was acquired or generated. This obligation is subject to certain exceptions including consent, complying with legal requirements or where required for the DNSP or requesting party to provide services
 - prohibited from disclosing information to a related business where it is obtained from a current or potential competitor and would likely advantage the related business, and
 - required to provide access to such information to competitors of a related business on request where it has disclosed such information to a related business.¹³
- 2.19. Rule 8.6 of the NER sets out obligations for registered participants in the NEM (including DNSPs) regarding confidential or commercially sensitive information. These provisions generally require participants to use all reasonable endeavours to keep confidential any confidential information that comes into its possession or control, or of which it becomes aware. It contains several exceptions, including consent, complying with legal requirements and disclosure in connection with arbitration or legal proceedings.¹⁴
- 2.20. Gas distribution networks are also subject to ring-fencing obligations under the NGL. These ring-fencing provisions require the separation of pipeline businesses from related businesses, such as those that produce, buy or sell gas.
- 2.21. Additionally, Part 16 of the NGR sets out obligations relating to the protection of confidential information against improper use or disclosure, subject to limited exceptions including consent, complying with legal requirements and disclosure in connection with arbitration or legal proceedings. These obligations require gas pipeline operators to take all practical steps to protect confidential information from improper disclosure or use and to, upon request, disclose specific information to the relevant person to whom the information relates (or a person acting on their behalf).¹⁵

¹² AER, [Ring-fencing Guideline Electricity Distribution Version 4](#), 27 February 2025.

¹³ AER, [Ring-fencing Guideline Electricity Distribution Version 4](#), 27 February 2025, clauses 4.1 and 4.3.

¹⁴ AEMC, [Rule 8.6 of the NER](#).

¹⁵ AEMC, [Part 16 of the NGR](#).

Overlap and relationship between the parties

- 2.22. Sembcorp itself does not own any operating assets in Australia or have any minority or controlling interests in any entities active in the energy sector in Australia. However, Temasek, the largest shareholder of Sembcorp, has indirect minority interests in both Jemena and Neoen, which give rise to vertical links and horizontal overlaps respectively. Temasek and its related entities are referred to in these reasons as **Temasek Group**.

Relationships between Jemena and the Target Group

- 2.23. Temasek is an indirect, minority shareholder of Jemena through its wholly owned subsidiary, Singapore Power Limited (**SP Group**). Singapore Power International Pte Ltd (**SPI**), a subsidiary of SP Group, has a 40% interest in Jemena's parent company, SGSPAA, with the remaining equity held by State Grid International Development Australia Investment Company Ltd (**State Grid**) as SGSPAA's controlling shareholder.
- 2.24. Jemena is an owner and operator of gas transmission and distribution and electricity distribution network assets on the east coast of Australia. Jemena owns or otherwise has interests in three electricity distribution networks, located in the ACT and Victoria, and two gas distribution networks, located in the ACT and NSW. Jemena also owns gas transmission pipelines on the east coast of Australia (listed in **Table 1** below).
- 2.25. Jemena's gas and electricity assets which have a relationship to Alinta Energy's operations are detailed in **Table 1** below. There are no other vertical relationships between Jemena and other entities in the Target Group.

Table 1 Jemena assets and relationship with Alinta Energy

Asset type	State	Relationship with Alinta Energy
Gas transmission		
Eastern Gas Pipeline	NSW/VIC	Alinta Energy's Bairnsdale Power Station connects to the Eastern Gas Pipeline. There are no other gas-fired power stations connected to the Eastern Gas Pipeline in Victoria. A number of competing gas-fired power stations also connect to the Eastern Gas Pipeline in NSW including Energy Australia's 760MW Tallawarra power station.
VicHub Interconnect Facility	VIC	Alinta Energy utilises the VicHub Interconnect to transport gas from the Victorian Declared Wholesale Gas Market to customers along the Eastern Gas Pipeline or in the Sydney Short Term Trading Market.
Gas distribution		

Jemena Gas Distribution Network	NSW	Alinta Energy utilises Jemena's gas distribution network to deliver gas to its retail customers in NSW. Information from the parties indicates that Alinta Energy has a less than 10% share of the retail supply of gas customers to each of C&I and small-use customers in NSW.
Electricity distribution		
Jemena Electricity Distribution Network	VIC	Alinta Energy utilises the Jemena and United Energy electricity distribution networks to deliver electricity to its retail customers in Victoria. Information from the parties indicates that Alinta Energy has a less than 10% share of the retail supply of gas customers to each of C&I and small-use customers in Victoria.
United Energy Distribution Network (34% share)	VIC	

2.26. As outlined in Table 1 above, Jemena's infrastructure assets overlap vertically with Alinta Energy's:

- electricity generation operations in Victoria
- retail supply of gas in New South Wales, and
- retail supply of electricity in Victoria.

Horizontal overlap with Neoen

2.27. Temasek has an indirect 14.19% interest in Neoen. Neoen is a France-headquartered global developer, constructor, financier and operator of renewable energy assets. Within Australia, Neoen owns and/or operates a number of wind, solar and energy storage projects in New South Wales, Queensland, South Australia, Tasmania and Western Australia.

2.28. Alinta Energy and Neoen overlap in the generation and supply of wholesale electricity to each of the NEM and WEM, as shown in **Table 2**. There are no other overlaps between Neoen and other entities in the Target Group.

Table 2 Horizontal overlaps between Neoen and Alinta Energy

State	Alinta Energy asset	Neoen generation asset
Queensland	Braemar Power Station (564 MW) Collinsville Solar Farm (PPA) (29 MW) Rugby Run Solar Farm (PPA) (52 MW)	Western Downs Green Power Hub (460 MW) Western Downs Battery Stage 1 (270 MW) Western Downs Battery Stage 2 (270 MW) Kaban Green Power Hub (157 MW)
New South Wales	Wellington North Solar Farm (PPA) (32 MW)	Dubbo Solar Farm (28 MW) Parkes Solar Farm (66 MW) Griffith Solar Farm (36 MW)
Western Australia	Pinjarra Cogeneration Plant (285 MW) Wagerup Power Station (412 MW)	Collie Battery Stage 1 (219 MW) Collie Battery Stage 2 (341 MW)

	Yandin Wind Farm (214.2 MW) Badgingarra Wind and Solar Farm (PPA) (150 MW) Walkaway Wind Farm (PPA) (89 MW)	
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- 2.29. There is no current overlap between Alinta Energy and Neoen in South Australia. However, Alinta Energy does have some projects in development, including the Reeves Plain Energy Hub (300 MW), and Neoen has existing facilities including the Goyder South Wind Farm (412 MW) and Blyth Battery (238.5 MW).
- 2.30. Neoen and Alinta Energy also both supply storage and firming capacity to the WEM. Alinta Energy does not currently have any storage and firming projects in the NEM but has several projects in development. Similarly, both parties participate in markets for the supply of essential system services and frequency control services and electricity derivatives and contracting markets.

Competition assessment

- 2.31. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).
- 2.32. Operators of monopoly electricity network assets and gas pipelines tend to have substantial market power. Regulation and market design, including in the operation of the NEM and WEM, seeks to constrain the exercise of that market power. Despite this, vertical integration involving monopoly energy infrastructure assets has the potential to raise material competition concerns that require close consideration. Operators of monopoly energy infrastructure assets may leverage their market power into vertically related markets to foreclose competition through discrimination against rivals, preferential treatment of affiliates or sharing competitively significant information.

Vertical effects – foreclosure of rival electricity generators in Victoria and the NEM

- 2.33. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the generation and wholesale supply of electricity in Victoria and the NEM. The ACCC considered the supply of storage and firming capacity, essential system support services and frequency control services, and derivatives within the broader assessment of wholesale electricity rivalry in the circumstances of this matter.
- 2.34. The ACCC has considered the ability and incentive of the merged entity to hinder, delay or otherwise frustrate rival electricity generators in a way that would substantially lessen competition, through its ownership links with Jemena. Cross-ownership between Alinta Energy's market energy operations and Jemena's monopoly infrastructure electricity network assets and gas transmission pipeline assets, has the potential to raise vertical foreclosure risks that need to be closely considered.
- 2.35. The ACCC has had regard to the level of control and influence that Temasek Group has over Jemena in order to assess the likely vertical effects of the Acquisition. Based on

information and documents provided by the merger parties and third parties, the ACCC accepts that Temasek Group is unlikely to be able to positively direct Jemena's decision making or operations. However, the ACCC considers that Temasek Group is able to influence certain investment decisions by SGSPAA.

- 2.36. In coming to this view, the ACCC has had regard to the size of Temasek Group's shareholding in SGSPAA, the rights, interests and incentives of State Grid, the composition of the SGSPAA board, how critical operational decisions are made by Jemena, and the governance arrangements and conflicts policies that exist within Jemena.
- 2.37. The ACCC's assessment of vertical effects in electricity generation has focused on the potential for Temasek Group to foreclose the Target Group's electricity generation rivals by hindering or preventing Jemena's investment in its gas/electricity network and gas transmission assets as required to facilitate access or expansion by generation rivals.
- 2.38. Based on information from the merger parties, market feedback and publicly available information, the ACCC considers that:
- There are no committed or anticipated material generation projects which require further investment in Jemena's gas or electricity assets that the ACCC is currently aware of.
 - Rival electricity generators may be able to access sufficient alternatives to Jemena's gas and electricity assets, which would limit the ability and incentive to foreclose. For example, gas-fired generation rivals may be able to access inputs through alternative gas pipelines or receipt points, and most generators connect to electricity transmission networks (where Jemena does not have any interests) rather than electricity distribution networks.
 - A strategy to foreclose a material rival generator may not be profitable for Temasek Group. Post-acquisition, Temasek Group will hold similar partial interests in Jemena and the Target Group (via Sembcorp). A foreclosure strategy could result in a loss of profits for Temasek Group through Jemena not supplying services, or supplying a lower volume of services, to the rival generator (unless the Target Group connects a generator to Jemena's network at the expense of the foreclosed rival). The Target Group would likely only recapture a very small proportion of those lost profits downstream given:
 - its less than 10% share of registered capacity in Victoria as well as across the NEM, and
 - stymieing a specific rival generator is likely to create market conditions that may support a different generator entering the market, which is not reliant on connecting to Jemena's network assets or gas supply from Jemena's gas transmission assets.
 - The regulatory frameworks in electricity and gas markets (described at paragraphs 2.9–2.21 above), may mitigate the likelihood of Temasek Group utilising its minority shareholding in Jemena to prevent or hinder network investment.
- 2.39. Having regard to the combination of factors identified in paragraph 2.38 above, the ACCC considers that Temasek Group would be unlikely to have the ability and/or incentive post-Acquisition to foreclose rival electricity generators through its ownership links with Jemena.

Vertical effects – foreclosure of Alinta Energy’s rivals in the retail supply of gas in New South Wales and retail supply of electricity in Victoria

- 2.40. In the ACCC’s view, the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the retail supply of gas in New South Wales and the retail supply of electricity in Victoria because Alinta Energy would be unlikely to have the ability and/or incentive post-Acquisition to harm the competitiveness of rivals in a way that substantially lessens competition through its access to and use of competitively significant information.
- 2.41. In this case, the ACCC focused on the potential for Alinta Energy, as part of the merged entity, to access and use competitively significant information held by Jemena to undermine the ability and incentive of rival gas and electricity retailers to compete effectively. For example, information about rival retailers’ customers or innovative business customer/household energy solutions that require the involvement of the network business.
- 2.42. The ACCC considers that information would generally need to be quite specific, down to the level of individual or small groups of customers, in order for Alinta Energy to gain competitive advantages. Higher-level information about market shares and strategies is unlikely to be competitively significant, as such information is commonly available in the market.
- 2.43. Alinta Energy’s access to competitively significant information held by Jemena would likely be contrary to Jemena’s regulatory obligations under Part 16 of the NGR, Rule 8.6 of the NER and AER Ring Fencing Guidelines (see paragraphs 2.17-2.21 above).
- 2.44. These regulatory requirements may, to some extent, mitigate Alinta Energy’s ability to access and use competitively significant information held by Jemena. However, the ACCC also considers that there is a degree of circumvention risk where a party has an incentive to engage in conduct which is contrary to regulatory requirements.
- 2.45. Nonetheless, the ACCC considers that foreclosure strategies by Alinta Energy which utilise competitively significant information are unlikely because:
- Temasek Group is unlikely to have sufficient positive control over Jemena (as identified at paragraph 2.35 above) to combine Alinta Energy’s access to competitively significant information with preferential network treatment from Jemena
 - any use of competitively significant information in the absence of preferential network treatment would likely only provide transient advantages to Alinta Energy in retail supply as competitors respond to Alinta Energy’s observed commercial strategies and/or become aware of the information because of transparency and access requirements that apply to Jemena (described at paragraphs 2.11-2.15 above), and
 - transient benefits from the use of competitively significant information may not offset the regulatory risks involved with the disclosure and use of that information.

Reduced competition arising from horizontal aggregation in the generation and supply of wholesale electricity to each of the NEM and the WEM

- 2.46. The ACCC considers that the Acquisition is unlikely to substantially lessen competition in the generation and supply of wholesale electricity to the NEM and/or WEM as a result of the removal of competition between Alinta Energy and Neoen. The ACCC considered the supply of storage and firming capacity, essential system support services and frequency control services, and derivatives within the broader assessment of wholesale electricity rivalry in the circumstances of this matter.
- 2.47. The ACCC has had regard to the level of control and influence that Temasek Group has over Neoen as part of its assessment of the potential for reduced competition post-Acquisition.
- 2.48. In the ACCC's view, Temasek Group is unlikely to be able to exercise positive control or material influence over Neoen's operations. In coming to this view, the ACCC has had regard to information provided by the merger parties about the size of Temasek Group's indirect shareholding (at 14.19%) relative to other shareholders, arrangements for the appointment of directors on the Neoen board, how critical operational decisions are made by Neoen, and governance arrangements within Neoen.
- 2.49. Although Temasek Group will hold interests in both Alinta Energy and Neoen, based on the material before it, the ACCC considers that:
- Temasek's minor interest in Neoen makes it unlikely that Alinta Energy and Neoen will compete as a single entity in the generation and supply of wholesale electricity, and their incentives to compete are unlikely to materially change as a result of the Acquisition.
 - Even if Alinta Energy and Neoen competed as a single entity, it would have a relatively small market share. Based on information from the merger parties:
 - Alinta Energy and Neoen would have a combined share of 10% of registered capacity in the Queensland region of the NEM and less than 5% in the New South Wales region of the NEM. They do not overlap in other NEM states. Across the NEM, Alinta Energy and Neoen would have a combined, <10% share of total registered capacity or dispatchable electricity capacity in the NEM.
 - Although the combined Alinta Energy/Neoen would have a higher share of registered capacity in the WEM (20-30%), as highlighted in market feedback, the ACCC notes that these figures may overstate the significance of the overlap as they do not reflect differences in generation portfolios or in load factor and intermittency.
 - Similarly, Alinta Energy and Neoen will continue to face competition from alternative suppliers of wholesale electricity. Competitors in the NEM include AGL Energy, Origin Energy, Stanwell and Energy Australia. In the WEM, alternative generators include Synergy and NewGen and BlueWaters (which are both owned by Sumitomo Corporation).

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act